CENTRAL ELECTRICITY REGULATORY COMMISSION
New Delhi

Petition No. 598/TT/2025

Coram:

Shri Ramesh Babu V., Member
Shri Harish Dudani, Member

Date of Order: 18.03.2026

In the matter of:

Approval under Section 62 read with Section 79 (1) (d) of the Electricity Act, 2003 and under Regulation 15 (1) (a) and Regulation 23 of the Central Electricity Regulatory Commission (Conduct of Business) Regulations, 2023 read with the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 for truing up of the transmission tariff for the 2019-24 tariff period and the determination of transmission tariff for the 2024-29 tariff period under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024 for Extension of Kudankulam APP-Tirunelveli 400 kV (Quad) D/C line to Tuticorin Pooling Station along with associated bays and equipment at Tuticorin Pooling Station under "Connectivity for Kudankulam 3&4 (2X1000 MW) with ISTS" in the Southern Region.

And in the matter of:

Power Grid Corporation of India Limited,
Registered Office: B-9, Qutab Institutional Area,
Katwaria Sarai, New Delhi-110016.

Corporate Centre: "Saudamini", Plot No. 2,
Sector-29, Gurgaon–122001 (Haryana).

…Petitioner

Versus

1. **Tamil Nadu Generation and Distribution Corporation Limited,**
   NPKRR Maaligai, 800, Anna Salai,
   Chennai – 600 002.

2. **Kerala State Electricity Board Limited,**
   Vaidyuthi Bhavanam,
   Pattom, Thiruvananthapuram – 695 004.

3. **Electricity Department,**
   Government of Goa**,**
   Vidyuti Bhawan, Panaji – 403001, Goa.

4. **Electricity Department,**
Government of Pondicherry,
137, Netaji Subash Chandra Bose Salai,
Pondicherry – 605 001.

5. **Eastern Power Distribution Company of Andhra Pradesh Limited,**
P&T Colony, Seethmadhara, Vishakhapatnam, Andhra Pradesh.

6. **Southern Power Distribution Company of Andhra Pradesh Limited,**
19-13-65/A, Srinivasapuram, Tiruchanoor Road,
Tirupati – 517 503, Andhra Pradesh.

7. **Andhra Pradesh Central Power Distribution Company Limited,**
Corporate Office, Beside Polytechnic College, ITI Road,
Vijayawada – 520 008, Krishna District, Andhra Pradesh.

8. **Southern Power Distribution Company of Telangana Limited,**
6-1-50, Corporate Office, Mint Compound,
Hyderabad – 500063, Telangana.

9. **Northern Power Distribution Company of Telangana Limited,**
H.No 2-5-3 1/2, Vidyut Bhawan, Corporate Office,
Nakkal Gutta, Hanamkonda, Warangal – 506001, Telangana.

10. **Bangalore Electricity Supply Company Limited,**
Corporate Office, K.R.Circle,
Bangalore – 560 001, Karnataka.

11. **Gulbarga Electricity Supply Company Limited,**
Corporate Office, Station Main Road, Opposite Parivar Hotel,
Gulbarga (Kalburgi)– 585102. Karnataka

12. **Hubli Electricity Supply Company Limited,**
Navanagar, PB Road, Hubli – 580 025, Karnataka.

13. **Mangalore Electricity Supply Company Limited,**
Corporate Office,1st Floor, MESCOM Bhavan,
Kavoor Cross Road, Bejai, Mangalore – 575 004, Karnataka.

14. **Chamundeswari Electricity Supply Corporation Limited,**
Corporate Office, 29, Vijayanagara 2nd Stage,
Hinkal, Mysuru – 570 017, Karnataka. **…Respondent(s)**

Parties Present : Shri Zafrul Hasan, PGCIL
Shri Angaru Naresh Kumar, PGCIL
Shri Arjun Malhotra, PGCIL
Shri Mukesh Bhakar, PGCIL
Shri Piyush Awvasthi, PGCIL
Shri G. Vijay, PGCIL

ORDER

The Petitioner, Power Grid Corporation of India Limited, has filed this Petition for truing-up of the transmission tariff for the 2019-24 tariff period, in terms of the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 (hereinafter referred to as "the 2019 Tariff Regulations"), and for the determination of the transmission tariff in terms of the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024 (hereinafter referred to as "the 2024 Tariff Regulations"), for the 2024-29 tariff period, concerning the Extension of Kudankulam APP-Tirunelveli 400 kV (Quad) D/C line to Tuticorin Pooling Station along with associated bays and equipment at Tuticorin Pooling Station under "Connectivity for Kudankulam 3&4 (2X1000 MW) with ISTS Transmission System in the Southern Region.

2. The Petitioner has made the following prayers in the instant Petition:

"

a) *"Approve the trued-up Transmission Tariff for 2019-24 block and transmission tariff for 2024-29 block for the assets covered under this petition, as per para 16 and 17 above.*
b) *Admit the capital cost claimed and additional capitalization incurred during 2019-24 and also allow the projected additional capitalization during 2024-29.*
c) *Allow the petitioner to recover the shortfall or refund the excess Annual Fixed Charges, on account of Return on Equity due to change in applicable Minimum Alternate/Corporate Income Tax rate as per the Income Tax Act, 1961 (as amended from time to time) of the respective financial year directly without making any application before the Commission as provided in Tariff Regulations 2019 and Tariff Regulations, 2024 as per para 16 and 17 above for respective block.*
d) *Approve the reimbursement of expenditure by the beneficiaries towards petition filing fee, and expenditure on publishing of notices in newspapers in terms of Regulation 94 (1) Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024, and other expenditure (if any) in relation to the filing of petition.*
e) *Allow the petitioner to bill and recover RLDC fees & charges and Licensee fee separately from the respondents in terms of Regulation 94 (3) and (4) Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024.*
f) *Allow the petitioner to bill and adjust impact on Interest on Loan due to change in Interest rate on account of floating rate of interest applicable during 2024-29 period, if any, from the respondents.*
g) *Allow the petitioner to file a separate petition before the Commission for claiming the overall security expenses and consequential IOWC on that security expenses as mentioned at para 23 above.*
h) *Allow the petitioner to file a separate petition before the Commission for claiming*

the overall insurance expenses and consequential IOWC on that insurance expenses as mentioned at para 23 above.

i) Allow the petitioner to file a separate petition before the Commission for claiming the overall capital spares at the end of tariff block as per actual as mentioned at Para 23 above.

j) Allow the petitioner to claim expenses of CTUIL borne by POWERGRID through a separate petition as mentioned at para 24 above.

k) Allow the Petitioner to bill and recover GST on Transmission Charges separately from the respondents, if GST on transmission is levied at any rate in future. Further, any taxes including GST and duties including cess etc. imposed by any statutory/Govt./municipal authorities shall be allowed to be recovered from the beneficiaries.

and pass such other relief as the Commission deems fit and appropriate under the circumstances of the case and in the interest of justice."

Background

3. The brief facts of the case are as under:

(a) The Investment Approval (the IA) for the transmission asset was accorded by the Board of Directors of the Petitioner's Company vide Memorandum Ref: C/CP/Connectivity for Kudankulam 3 and 4 dated 14.1.2016, at an estimated cost of ₹16211.00 lakh, which included an Interest During Construction (IDC) of ₹948.00 lakh based on August, 2015 price levels.

(b) The scope of the work as per IA is as follows:

Transmission Line:

i. Extension of Kudankulam APP-Tirunelveli 400 kV (Quad) D/C line to Tuticorin Pooling Station.

a) Tuticorin Pooling Station-Tirunelveli section of the agreed Tuticorin Pooling Station-Kudankulam 400 kV (Quad) D/C line
b) Connection of one 400 kV D/C of Kudankulam-Tirunelveli 400 kV 2XD/C (Quad) lines to the above line section to make Kudankulam-Tuticorin Pooling Station 400 kV D/C (Quad) line.

Sub-station:

i. Extension of Tuticorin Pooling Station (existing Sub-station of Powergrid)

a) 2 no line bays for 400 kV D/C (Quad) line

(c) The entire scope of the transmission project is complete and is covered in the instant Petition

(d) The tariff for the transmission asset from the COD to 31.3.2019 was approved vide Order dated 29.6.2018 in Petition No. 110/TT/2017. Further, the Commission, vide Order dated 7.5.2021 in Petition No. 497/TT/2019, trued-up the transmission tariff for the 2014-19 tariff period and determined the transmission tariff in respect of the transmission asset for the 2019-24 tariff period.

4. The Respondents are distribution licensees, transmission licensees, and power departments, which are procuring transmission service from the Petitioner, mainly beneficiaries of the Southern Region.

5. The Petitioner has served a copy of the Petition on the Respondents, and notice regarding the filing of this Petition has also been published in newspapers in accordance with Section 64 of the Electricity Act, 2003 (hereinafter referred to as "the Act"). However, no comments or suggestions have been received from the public in response to the notices published by the Petitioner.

6. Respondent No. 2, i.e., Kerala State Electricity Board Limited (KSEBL), has filed its reply vide affidavit dated 5.11.2025. The Petitioner, through an affidavit dated 12.11.2025, has filed its rejoinder to KSEBL's reply. The issues raised by KSEBL and the clarifications provided by the Petitioner have been addressed in the relevant parts of this order.

7. The hearings in this matter were held on 30.10.2025 and 11.12.2025 and order was reserved on 11.12.2025.

8. This order is being issued after considering the Petitioner's submissions in the Petition vide affidavit dated 28.11.2024, along with additional affidavits of the Petitioner

dated 18.8.2025, 12.11.2025, and 29.12.2025, and KSEBL's reply filed vide affidavit dated 5.11.2025.

9. Having heard the parties and perused the material available on record, we proceed to dispose of the present Petition.

Truing-up of Annual Fixed Charges for the 2019-24 Tariff Period

10. The Petitioner has claimed the following transmission charges in respect of the transmission asset for the 2019-24 tariff period:

(₹ in lakh)

Particulars	**2019-20**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Depreciation	824.33	829.28	830.31	830.56	830.59
Interest on Loan	741.66	656.15	592.28	546.33	499.02
Return on Equity	879.78	885.06	886.16	886.43	886.46
O&M Expenses	151.67	156.97	162.48	168.21	174.08
Interest on Working Capital	43.39	39.73	36.44	36.06	40.74
Total	**2640.83**	**2567.19**	**2507.67**	**2467.59**	**2430.89**

11. The details of the trued-up Interest on Working Capital (IWC) claimed by the Petitioner regarding the transmission asset are as follows:

(₹ in lakh)

Particulars	**2019-20**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
O&M Expenses	12.64	13.08	13.54	14.02	14.51
Maintenance Spares	22.75	23.55	24.37	25.23	26.11
Receivables	324.69	316.50	309.16	304.22	298.88
Total Working Capital	**360.08**	**353.13**	**347.07**	**343.47**	**339.50**
Rate of Interest (in %)	12.05	11.25	10.50	10.50	12.00
Interest on Working Capital	**43.39**	**39.73**	**36.44**	**36.06**	**40.74**

Capital Cost for the 2019-24 Tariff Period

12. The capital cost of the transmission asset has been calculated in accordance with Regulations 19(1) and 19(3) of the 2019 Tariff Regulations.

13. The Commission, vide order dated 7.5.2021 in Petition No. 497/TT/2019, allowed the capital cost of ₹15534.75 lakh as on 31.3.2019 for the transmission asset.

14. The capital cost of ₹15534.75 lakh as on 31.3.2019 has been claimed by the Petitioner in the instant Petition and thus, the same is being considered as the opening

capital cost as on 1.4.2019 for the purpose of truing up of the transmission tariff for the 2019-24 tariff period.

Additional Capital Expenditure (ACE)

15. In the instant Petition, the Petitioner has claimed an ACE of ₹198.12 lakh for the transmission asset for the 2019-24 tariff period, as compared to the allowed ACE values of ₹447.57 lakh in Petition No. 497/TT/2019.

16. The Petitioner has submitted that the ACE incurred during the 2019-24 tariff period is claimed under Regulations 24(1)(a) and 25(1)(d) of the 2019 Tariff Regulations. Further, the primary reason for variations in the allowed ACE and actual ACE is that while projecting the estimated additional capitalisation, contracts were not closed, and liabilities were not finalised. However, in the instant true-up Petition, the Petitioner has claimed the ACE on the basis of actual payments made to the vendor, after receipt of final invoices, incorporating the amendments, and after due reconciliation in accordance with the contractual provisions.

17. KSEBL, in its reply vide affidavit dated 5.11.2025, has submitted that in the absence of credible and verifiable proof of contractual liability and its actual payment, the additional capitalization as claimed by the Petitioner under Regulation 24(1)(a) is not admissible. The said claim does not represent genuine capitalization of assets but appears to be an internal accounting adjustment undertaken by the Petitioner and therefore merits rejection.

18. In response, the Petitioner has submitted that the additional capital expenditure (ACE) claimed for the transmission asset during the 2019-24 tariff period is within the original scope of work. It is also submitted that ACE claimed for the 2019-24 tariff period is on account of undischarged liabilities towards final payment due to contractual exigencies for works executed prior to the cut-off date and claimed under Regulation 24(1)(a) and 25 (1) (d) of the 2019 Tariff Regulations and as per the said

Regulations, the Petitioner is required to submit the Auditor's Certificate towards the expenditure incurred.

19. We have considered the submissions of the KSEBL and the Petitioner. The Petitioner has claimed ACE on account of undischarged liabilities towards final payment due to contractual exigencies for works executed prior to the cut-of date in terms of Regulation 24 (1) (a) and 25(1) (d) of the 2019 Tariff Regulations. The Petitioner has submitted a detailed break-up of ACE for the transmission asset, and the same is as under:

Asset	**ACE details (₹ lakh)**				
	2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Transmission Project	158.13	29.37	9.62	-	1.00
Claimed under 2019 Regulations	Regulation 24(1)(a) of the 2019 Tariff Regulations	Regulation 24(1)(a) of the 2019 Tariff Regulations	Regulation 25(1)(d) of the 2019 Tariff Regulations	-	Regulation 25(1)(d) of the 2019 Tariff Regulations

20. The Petitioner in the instant true-up Petition has submitted the following Liability Flow statement in respect of the transmission asset:

₹ in lakh)

Head-wise/Party-wise	**Particulars**	**Outstanding Liability as on 31.03.2019/COD**	**Discharge**						**Outstanding Liability as on 31.03.2024**
			2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**	**Total**	
Compensation	Tr. Line	1.10	**-**	**-**	**-**	**-**	**-**	**-**	1.10
M/s. ZTT India Private Limited	Tr. Line	4.79	4.79	-	-	-	-	4.79	-
M/s. B G Shirke Const. Tech. Pvt. Ltd.	Tr. Line	20.00	20.00	-	-	-	-	20.00	-
M/s. Hindusthan Urban Infrastructure Ltd.	Tr. Line	5.94	5.94	-	-	-	-	5.94	-
M/s. Jiangdong	Tr. Line	114.76	114.76	-	-	-	-	114.76	-

Fittings Equipment Co., Ltd.									
M/s. Sterlite Power Transmission Ltd.	Tr. Line	12.64	12.64	-	-	-	-	12.64	-
M/s.T Paulsamy	Sub-station	39.99		29.37	9.62		1.00	39.99	-
		-	-	-	-	-	-	-	-
		199.22	**158.13**	**29.37**	**9.62**	**-**	**1.00**	**198.12**	**1.10**

21. The Petitioner has submitted, a detailed break-up of ACE for the transmission asset and, the same is allowed as follows:

(₹ in lakh)

Asset	**ACE allowed**					**Total**
	2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**	
Transmission Asset	158.13	29.37	9.62	-	1.00	**198.12**
Claimed under the 2019 Tariff Regulations	Regulation 24(1)(a) of the 2019 Tariff Regulations	Regulation 24(1)(a) of the 2019 Tariff Regulations	Regulation 25(1)(d) of the 2019 Tariff Regulations	-	Regulation 25(1)(d) of the 2019 Tariff Regulations	-

22. Accordingly, the details of the capital cost and trued-up ACE allowed with respect to the transmission asset for the 2019-24 tariff period are as follows:

(₹ in lakh)

Asset	**Capital Cost as on 1.4.2019**	**ACE Allowed**	**Capital Cost as on 31.3.2024**
		2019-24	
Transmission Asset	15534.75	198.12	15732.87

Debt-Equity Ratio

23. The details of the debt-equity ratio considered and allowed under Regulation 18 of the 2019 Tariff Regulations for computation of the tariff in respect of the transmission asset during the 2019-24 tariff period are as follows:

Funding	**Capital Cost as on 1.4.2019**		**ACE during the 2019-24 tariff period**		**Capital Cost as on 31.3.2024**	
	(₹ in lakh)	**(in %)**	**(₹ in lakh)**	**(in %)**	**(₹ in lakh)**	**(in %)**
Debt	10874.33	70.00	138.68	70.00	11013.01	70.00
Equity	4660.42	30.00	59.44	30.00	4719.86	30.00
Total	**15534.75**	**100.00**	**198.12**	**100.00**	**15732.87**	**100.00**

Depreciation

24. The depreciation has been worked out considering the admitted capital expenditure as on 1.4.2019, and thereafter up to 31.3.2024. The Weighted Average Rate of Depreciation (WAROD), has been worked out for the transmission asset as per the rates of depreciation specified in the 2019 Tariff Regulations. Accordingly, the depreciation approved, in respect of the transmission asset, is as follows:

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Opening Gross Block	15534.75	15692.88	15722.25	15731.87	15731.87
B	Addition during the year 2019-24 due to ACE	158.13	29.37	9.62	0.00	1.00
C	Closing Gross Block (A+B)	15692.88	15722.25	15731.87	15731.87	15732.87
D	Average Gross Block (A+C)/2	15613.82	15707.57	15727.06	15731.87	15732.37
E	Average Gross Block (90% depreciable assets)	15613.82	15707.57	15727.06	15731.87	15732.37
F	Average Gross Block (100% depreciable assets)	0.00	0.00	0.00	0.00	0.00
G	Depreciable value (excluding IT equipment and software) (E*90%)	14052.43	14136.81	14154.35	14158.68	14159.13
H	Depreciable value of IT equipment and software (F*100%)	0.00	0.00	0.00	0.00	0.00
I	Total Depreciable Value (G+H)	14052.43	14136.81	14154.35	14158.68	14159.13
J	Weighted average rate of Depreciation (WAROD) (in %)	5.2795	5.2795	5.2795	5.2795	5.2795
K	Elapsed useful life at the beginning of the year (Year)	1.00	2.00	3.00	4.00	5.00
L	Balance useful life at the beginning of the year (Year)	34.00	33.00	32.00	31.00	30.00
M	**Depreciation during the year (D*J)**	**824.33**	**829.28**	**830.31**	**830.56**	**830.59**
N	Cumulative Depreciation at the end of the year	1653.30	2482.58	3312.88	4143.45	4974.03
O	Remaining Aggregate Depreciable Value at the end of the year	12399.13	11654.23	10841.47	10015.24	9185.10

25. The details of the depreciation allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019 for the transmission asset, depreciation claimed in the instant Petition, and trued-up depreciation approved in respect of the transmission asset in the instant

order are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019	831.97	843.79	843.79	843.79	843.79
Claimed by the Petitioner in the instant Petition	824.33	829.28	830.31	830.56	830.59
Approved after truing-up in this order	824.33	829.28	830.31	830.56	830.59

Interest on Loan (IoL)

26. The Petitioner has claimed the Weighted Average Rate of Interest (WAROI) on loans based on its actual loan portfolio and prevailing interest rate.

27. We have considered the Petitioner's submissions and perused the record. The IoL has been calculated based on the actual interest rate submitted by the Petitioner in accordance with Regulation 32 of the 2019 Tariff Regulations. The trued-up IoL approved, in respect of the transmission asset, is as follows:

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Gross Normative Loan	10874.33	10985.02	11005.58	11012.31	11012.31
B	Cumulative Repayments up to the Previous Year	828.97	1653.30	2482.58	3312.88	4143.45
C	Net Loan-Opening (A-B)	10045.36	9331.72	8523.00	7699.42	6868.86
D	Addition due to ACE	110.69	20.56	6.73	0.00	0.70
E	Repayment during the year	824.33	829.28	830.31	830.56	830.59
F	Net Loan-Closing (C+D-E)	9331.72	8523.00	7699.42	6868.86	6038.97
G	Average Loan (C+F)/2	9688.54	8927.36	8111.21	7284.14	6453.92
H	Weighted Average Rate of Interest on Loan (in %)	7.6550	7.3499	7.3020	7.5003	7.7321
I	**Interest on Loan (G*H)**	**741.66**	**656.15**	**592.28**	**546.34**	**499.02**

28. The details of IoL allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019 for the transmission asset, IoL claimed in the instant Petition, and trued-up IoL approved in the instant order in respect of the transmission asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019	756.33	702.57	640.10	577.68	510.88
Claimed by the Petitioner in the instant Petition	741.66	656.15	592.28	546.33	499.02

Approved after truing-up in this order	741.66	656.15	592.28	546.34	499.02

Return on Equity (RoE)

29. The Petitioner has submitted that its Income Tax assessment has been completed, and the assessment orders have been issued by the Income Tax Department for FY 2019-20 and FY 2020-21 and the income has been assessed under MAT [115JB of the Income Tax Act, 1961 (IT Act, 1961)]. The Petitioner has further submitted that the Income Tax Returns (ITRs) have been filed for FYs 2021-22, 2022-23 and 2023-24.

30. The Petitioner has further submitted that it is liable to pay the income tax at MAT rates (17.472, i.e., 15% Income Tax + 12% Surcharge on Income Tax + 4% Health and Education Cess on Income Tax and Surcharge) and has claimed the following effective tax rates for the 2019-24 tariff period:

Year	Claimed effective tax rate (in %)	Grossed-up RoE (in %) [(Base Rate)/(1-t)]
2019-20	17.472	18.782
2020-21	17.472	18.782
2021-22	17.472	18.782
2022-23	17.472	18.782
2023-24	17.472	18.782

31. The Petitioner has furnished the Assessment Orders for FYs 2019-20 and 2020-21, along with the ITRs for the FYs 2021-22, 2022-23 and 2023-24. The computation of the effective tax percentage is as under:

Financial Year	Basis considered	Total Tax & Interest paid (₹)	Assessed MAT Income under Sec 115JB (₹)	Effective Tax Percentage (in %)	Grossed up ROE (Base rate/(1-t) (in %)
2019-20	Assessment Order	24526276991	140374753855	17.472	18.782
2020-21	Assessment Order	26089359008	149320965036	17.472	18.782
2021-22	Actual Tax paid	31814640406	182089288030	17.472	18.782
2022-23	Actual Tax paid	30428820993	174157629306	17.472	18.782
2023-24	Actual Tax paid	31321238737	179265331597	17.472	18.782

32. The Petitioner has requested to allow it to claim the differential tariff on account of the trued-up RoE based on effective tax rate calculated on completion of Income Tax assessment/re-assessment for the FYs 2021-22, 2022-23 and 2023-24 on receipt of the respective assessment orders, directly from the beneficiaries on a year-to-year basis as provided in the regulation.

33. We have considered the Petitioner's submissions and have also gone through the record. We note that the entities covered under the MAT regime are paying Income Tax as per the MAT rates notified for the respective financial year under the IT Act, 1961, which is levied on the book profit of the entity computed as per Section 115 JB of the IT Act, 1961. Section 115 JB (2) of the IT Act, 1961 defines book profit as net profit in the Statement of Profit and Loss prepared in accordance with Schedule-III of the Companies Act, 2013, subject to some additions and deductions as mentioned in the IT Act, 1961. Since the Petitioner has been paying the MAT rates of the respective financial year, the notified MAT rates for the respective financial year shall be considered as an effective tax rate for the purpose of grossing up of the RoE for truing up of the 2019-24 tariff period in terms of the provisions of the 2019 Tariff Regulations. Interest imposed on any additional income tax demand as per the assessment order of the Income Tax Authorities shall be considered on the actual payment. However, the penalty (for default on the part of the Assessee), if any, imposed shall not be taken into account for the purpose of grossing up the rate of RoE. Any under-recovery or over-recovery of the grossed-up rates on the RoE after truing-up shall be recovered or refunded to the beneficiaries or the long-term customers, as the case may be, on a year-to-year basis. Therefore, the following effective tax rate based on the notified MAT rates is considered for the purpose of grossing up the rate of RoE:

Year	Notified MAT rates (in %) (inclusive of surcharge & cess)	Effective tax 't'(in %)	Base rate of RoE (in %)	Grossed-up RoE [(Base Rate)/(1-t)] (in%)
2019-20	17.472	17.472	15.50	18.782
2020-21	17.472	17.472	15.50	18.782
2021-22	17.472	17.472	15.50	18.782
2022-23	17.472	17.472	15.50	18.782
2023-24	17.472	17.472	15.50	18.782

34. Accordingly, the trued-up RoE approved in respect of the transmission asset for the 2019-24 tariff period is as follows:

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Opening Equity	4660.42	4707.86	4716.68	4719.56	4719.56
B	Addition due to ACE	47.44	8.81	2.89	0.00	0.30
C	Closing Equity (A+B)	4707.86	4716.68	4719.56	4719.56	4719.86
D	Average Equity (A+C)/2	4684.14	4712.27	4718.12	4719.56	4719.71
E	Return on Equity (Base Rate) (in %)	15.50	15.50	15.50	15.50	15.50
F	Tax Rate applicable (in %)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**879.78**	**885.06**	**886.16**	**886.43**	**886.46**

35. The details of RoE allowed vide order 7.5.2021 in Petition No. 497/TT/2019 for the transmission asset, RoE claimed in the instant Petition, and trued-up RoE approved in the instant order in respect of the transmission asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019	887.93	900.54	900.54	900.54	900.54
Claimed by the Petitioner in the instant Petition	879.78	885.06	886.16	886.43	886.46
Approved after truing-up in this order	879.78	885.06	886.16	886.43	886.46

<u>Operation & Maintenance Expenses (O&M Expenses)</u>

36. The Commission, vide order dated 7.5.2021 in Petition No. 497/TT/2019, allowed the following O&M Expenses in respect of the transmission asset:

(₹ in lakh)

O&M Expenses	2019-20	2020-21	2021-22	2022-23	2023-24
	151.67	156.97	162.48	168.21	174.08

37. The Petitioner has claimed the following O&M Expenses for the 2019-24 tariff period:

(₹ in lakh)

O&M Expenses	2019-20	2020-21	2021-22	2022-23	2023-24
	151.67	156.97	162.48	168.21	174.08

38. We have considered the Petitioner's submissions. The O&M Expenses claimed by the Petitioner in the instant true-up Petition are as per Regulation 35(3) of the 2019 Tariff Regulations. The O&M Expenses in respect of the transmission asset have been worked out as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Transmission Line (Kudankulam-Tuticorin)					
Double Circuit (Bundle conductor with 4 sub-conductors)					
Norms	1.322	1.368	1.416	1.466	1.517
No. of Units (Length in Kms)	66.09	66.09	66.09	66.09	66.09
Sub-station (Tuticorin PS)					
					400 kV Sub-station
Norms	32.15	33.28	34.45	35.66	36.91
No. of Units	2	2	2	2	2
O&M Expenses	**151.67**	**156.97**	**162.48**	**168.21**	**174.08**

39. Accordingly, the details of O&M Expenses allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019 for the transmission asset, O&M Expenses claimed in the instant Petition, and trued-up O&M Expenses approved in the instant Order in respect of the transmission asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019	151.67	156.97	162.48	168.21	174.08
Claimed by the Petitioner in the instant Petition.	151.67	156.97	162.48	168.21	174.08
Approved after truing-up in this order	151.67	156.97	162.48	168.21	174.08

Interest on Working Capital (IWC)

40. IWC has been worked out in accordance with Regulation 34 of the 2019 Tariff Regulations. The Rate of Interest (RoI) considered is 12.05% (SBI 1-year MCLR applicable as on 1.4.2019 of 8.55% plus 350 basis points) for FY 2019-20, 11.25% (SBI 1-year MCLR applicable as on 1.4.2020 of 7.75% plus 350 basis points) for FY 2020-21, 10.50% (SBI 1-year MCLR applicable as on 1.4.2021 of 7.00% plus 350 basis points) for FY 2021-22 and FY 2022-23 and 12.00% (SBI 1 year MCLR applicable as on 1.4.2023 of 8.50% plus 350 basis points) for FY 2023-24.

41. The components of the working capital and interest allowed thereon for the transmission asset are as follows:

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Working Capital for O&M Expenses (O&M Expenses for one month)	12.64	13.08	13.54	14.02	14.51
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	22.75	23.55	24.37	25.23	26.11
C	Working Capital for Receivables (Equivalent to 45 days of annual fixed cost /annual transmission charges)	324.69	316.50	309.17	304.22	298.88
D	**Total Working Capital (A+B+C)**	**360.08**	**353.13**	**347.08**	**343.47**	**339.50**
E	Rate of Interest for working capital (in %)	12.05	11.25	10.50	10.50	12.00
F	**Interest on Working Capital (D*E)**	**43.39**	**39.73**	**36.44**	**36.06**	**40.74**

42. The details of IWC allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019 for the transmission asset, IWC claimed in the instant Petition, and trued-up IWC approved in the instant order in respect of the transmission asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019	43.87	40.86	40.21	39.56	38.77
Claimed by the Petitioner in the instant Petition.	43.39	39.73	36.44	36.06	40.74
Approved after truing-up in this order.	43.39	39.73	36.44	36.06	40.74

Trued-up Annual Fixed Charges for the 2019-24 Tariff Period

43. Accordingly, the trued-up Annual Fixed Charges approved for the 2019-24 tariff period in respect of the transmission asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	824.33	829.28	830.31	830.56	830.59
Interest on Loan	741.66	656.15	592.28	546.34	499.02
Return on Equity	879.78	885.06	886.16	886.43	886.46
O&M Expenses	151.67	156.97	162.48	168.21	174.08
Interest on Working Capital	43.39	39.73	36.44	36.06	40.74
Total	**2640.83**	**2567.19**	**2507.67**	**2467.60**	**2430.89**

44. The details of Annual Fixed Charges allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019 for the transmission asset, Annual Fixed Charges claimed in the instant Petition, and trued-up Annual Fixed Charges approved in the instant order in respect of the transmission asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 7.5.2021 in Petition No. 497/TT/2019	2671.78	2644.73	2587.11	2529.78	2468.05
Claimed by the Petitioner in the instant Petition.	2640.83	2567.19	2507.67	2467.59	2430.89
Approved after truing-up in this order	2640.83	2567.19	2507.67	2467.60	2430.89

Determination of the Annual Fixed Charges for the 2024-29 Tariff Period

45. The Petitioner has claimed the following transmission charges in respect of the transmission asset for the 2024-29 tariff period:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
Depreciation	834.52	834.55	834.55	830.82	827.84
Interest on Loan	434.42	368.78	302.91	240.43	179.97
Return on Equity	886.52	886.55	886.55	886.55	886.55
O&M Expenses	144.38	151.98	159.93	168.39	177.21
Interest on Working Capital	38.31	37.66	37.03	36.32	35.84
Total	**2338.15**	**2279.52**	**2220.97**	**2162.51**	**2107.41**

46. The details of the Interest on Working Capital (IWC) claimed by the Petitioner in respect of the transmission asset are as follows:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
O&M Expenses	12.03	12.67	13.33	14.03	14.77
Maintenance Spares	21.66	22.80	23.99	25.26	26.58
Receivables	288.27	281.04	273.82	265.88	259.82
Total Working Capital	**321.96**	**316.51**	**311.14**	**305.17**	**301.17**
Rate of Interest (in %)	11.90	11.90	11.90	11.90	11.90
Interest on Working Capital	**38.31**	**37.66**	**37.03**	**36.32**	**35.84**

Capital Cost

47. Regulation 19 of the 2024 Tariff Regulations provides as follows:

*"**19. Capital Cost**: (1) The Capital cost of the generating station or the transmission system, as the case may be, as determined by the Commission after prudence checks in accordance with these regulations shall form the basis for the determination of tariff for existing and new projects.*

(2) The Capital Cost of a new project shall include the following:

(a) The expenditure incurred or projected to be incurred up to the date of commercial operation of the project;

(b) Interest during construction and financing charges, on the loans (i) being equal to 70% of the funds deployed and, in the event actual equity is in excess of 30% on a pari-passu basis, by treating the excess equity over and above 30% of the funds deployed as a normative loan, or (ii) being equal to the actual amount of the loan in the event of actual equity being less than 30% of the funds deployed;

(c) Any gain or loss on account of foreign exchange risk variation pertaining to the loan amount availed during the construction period;

(d) Interest during construction and incidental expenditure during construction as computed in accordance with these regulations;

(e) Capitalised initial spares subject to the ceiling rates in accordance with these regulations;

(f) Expenditure on account of additional capitalization and de-capitalisation determined in accordance with these regulations;

(g) Adjustment of revenue due to the sale of infirm power in excess of fuel cost prior to the date of commercial operation as specified under Regulation 6 of these regulations;

(h) Adjustment of revenue earned by the transmission licensee by using the assets before the date of commercial operation;

(i) Capital expenditure on account of ash disposal and utilization including handling and transportation facility;

(j) Capital expenditure incurred towards railway infrastructure and its augmentation for transportation of coal up to the receiving end of the generating station but does not include the transportation cost and any other appurtenant cost paid to the railway;

(k) Capital expenditure on account of biomass handling equipment and facilities, for co-firing;

(l) Capital expenditure on account of emission control system necessary to meet the revised emission standards and sewage treatment plant;

(m) Expenditure on account of the fulfilment of any conditions for obtaining environment clearance for the project;

(n) Expenditure on account of change in law and force majeure events; and

(o) ……..

(p) ……..

(3) The Capital cost of an existing project shall include the following:

(a) Capital cost admitted by the Commission prior to 1.4.2024 duly trued up by excluding liability, if any, as on 1.4.2024;

(b) Additional capitalization and de-capitalization for the respective year of tariff as determined in accordance with these regulations;

(c) Capital expenditure on account of renovation and modernisation as admitted by this Commission in accordance with these regulations;

(d) to (h) …….

(i) Expenditure on account of change in law and force majeure events;

(4) ……..

(5) ……..

(6) The following shall be excluded from the capital cost of the existing and new projects:

(a) The assets forming part of the project but not in use, as declared in the tariff petition;

(b) De-capitalised Assets after the date of commercial operation on account of obsolescence;

(c) De-capitalised Assets on account of upgradation or shifting from one project to another project:

Provided that in case such an asset is recommended for further utilisation by the Regional Power Committee in consultation with CTU, such asset shall be de-capitalised from the original project only after its redeployment;

Provided further that unless shifting of an asset from one project to another is of a permanent nature, there shall be no de-capitalization of the concerned assets.

(d) ……..

(e) Proportionate cost of land of the existing generation or transmission project, as the case may be, which is being used for generating power from a generating station based on renewable energy as may be permitted by the Commission; and

(f) Any grant received from the Central or State Government or any statutory body or authority for the execution of the project that does not carry any liability of repayment."

48. The trued-up capital cost of ₹15732.87 lakh as on 31.3.2024 has been considered as the opening capital cost as on 1.4.2024 for the purpose of determination of the transmission tariff for the 2024-29 period in accordance with Regulation 19 of the 2024 Tariff Regulations.

<u>Additional Capital Expenditure</u>

49. Regulations 24 and 25 of the 2024 Tariff Regulations provide as under:

"24. Additional Capitalisation within the original scope and up to the cut-off date:

(1) The additional capital expenditure in respect of a new project or an existing project incurred or projected to be incurred, on the following counts

within the original

scope of work, after the date of commercial operation and up to the cut-off date may be admitted by the Commission, subject to prudence check:

(a) Undischarged liabilities recognized to be payable at a future date;

(b) Works deferred for execution;

(c) Procurement of initial capital spares within the original scope of work, in accordance with the provisions of Regulation 23of these regulations;

(d) Liabilities to meet award of arbitration or for compliance of the directions or order of any statutory authority or order or decree of any court of law;

(e) Change in law or compliance of any existing law which is not provided for in the original scope of work;

(f) For uninterrupted and timely development of Hydro projects, expenditure incurred towards developing local infrastructure in the vicinity of the power plant not exceeding Rs. 10 lakh/MW shall be considered as part of capital cost and in case the same work is covered under budgetary support provided by Government of India, the funding of such works shall be adjusted on receipt of such funds;

Provided that such expenditure shall be allowed only if the expenditure is incurred through Indian Governmental Instrumentality; and

(g) Force Majeure events:

Provided that in case of any replacement of the assets, the additional capitalization shall be worked out after adjusting the gross fixed assets and cumulative depreciation of the assets replaced on account of de-capitalization.

(2) The generating company or the transmission licensee, as the case may be shall submit the details of works asset wise/work wise included in the original scope of work along with estimates of expenditure, liabilities recognized to be payable at a future date and the works deferred for execution.

25. Additional Capitalisation within the original scope and after the cut-off date

(1) The additional capital expenditure incurred or projected to be incurred in respect of an existing project or a new project on the following counts within the original scope of work and after the cut-off date may be admitted by the Commission, subject to prudence check:

(a) Payment made against award of arbitration or for compliance with the directions or order of any statutory authority; or order or decree of any court of law;

(b) Change in law or compliance of any existing law which is not provided for in the original scope of work;

(c) Deferred works relating to ash pond or ash handling system or raising of ash dyke in the original scope of work;

(d) Payment made towards liability admitted for works within the original scope executed prior to the cut-off date;

(e) Force Majeure events;

(f) Works within original scope executed after the cut-off date and admitted by the Commission, to the extent of actual payments made; and

(2) In case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by

the Commission, after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check on the following grounds:

(a) The useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these regulations;

(b) The replacement of the asset or equipment is necessary on account of change in law or Force Majeure conditions;

(c) The replacement of such asset or equipment is necessary on account of obsolescence of technology; and

(d) The replacement of such asset or equipment has otherwise been allowed by the Commission.

Provided that any claim of additional capitalization with respect to the replacement of assets under the original scope and on account of obsolescence of technology, less than ₹ 20 lakhs shall not be considered as part of Capital cost and shall be met through normative O&M expenses".

50. The Petitioner has claimed ACE of ₹1.10 lakh in FY 2024-25 in respect of the transmission asset for the 2024-29 tariff period under Regulation 25(1)(d) of the 2024 Tariff Regulations and has submitted that the ACE claimed is within the original scope of works and is on account of undischarged liabilities towards final payment due to contractual exigencies for works executed duly certified by the Auditor Certificate.

51. KSEBL has submitted that Regulation 25(1)(d) of the 2024 Tariff Regulations permits additional capitalisation beyond the cut-off date only in exceptional circumstances, such as (i) discharge of deferred liabilities arising from approved and crystallised contractual obligations, or (ii) expenditure necessary for compliance with statutory mandates. The provision does not permit indefinite deferment of routine contractual settlements or accounting adjustments. The claimed amount appears to be an internal accounting adjustment rather than an actual liability discharge and should accordingly be disallowed.

52. In response, the Petitioner has submitted that ACE claimed for the 2024-29 period is on account of undischarged liabilities towards final payment due to contractual exigencies for works executed prior to the cut-off date and claimed under Regulation 25(1) (d) of the 2024 Tariff Regulations. Further, the claim of ₹1.10 lakh

in the 2024-29 tariff period is towards compensation to be paid by the Petitioner and is admissible under Regulation 25(1) (d) of the 2024 Tariff Regulations.

53. We have considered the submissions of the parties and gone through the record. ACE is allowed for the transmission asset, subject to the truing up for the 2024-29 tariff period, as follows:

ACE Details (₹in lakh)
2024-25
1.10
Allowed under Regulation 25(1)(d) of the 2024 Tariff Regulations

54. Accordingly, the details of the capital cost and ACE allowed with respect to the transmission asset for the 2024-29 tariff period are as follows:

(₹ in lakh)

Capital Cost as on 1.4.2024	**ACE allowed during 2024-29 Tariff Period**	**Capital Cost as on 31.3.2029**
15732.87	1.10	15733.97

<u>Debt Equity Ratio</u>

55. Regulation 18 of the 2024 Tariff Regulations provides as follows:

> *"**18. Debt-Equity Ratio**: (1) For new projects, the debt-equity ratio of 70:30 as on date of commercial operation shall be considered. If the equity actually deployed is more than 30% of the capital cost, equity in excess of 30% shall be treated as normative loan:*
>
> *Provided that:*
>
> *i. where equity actually deployed is less than 30% of the capital cost, actual equity shall be considered for determination of tariff:*
> *ii. the equity invested in foreign currency shall be designated in Indian rupees on the date of each investment:*
> *iii. any grant obtained for the execution of the project shall not be considered as a part of capital structure for the purpose of debt: equity ratio.*
>
> *Explanation**-** The premium, if any, raised by the generating company or the transmission licensee, as the case may be, while issuing share capital and investment of internal resources created out of its free reserve for the funding of the project, shall be reckoned as paid up capital for the purpose of computing return on equity, only if such premium amount and internal resources are actually utilized for meeting the capital expenditure of the generating station or the transmission system.*
> *(2) The generating company or the transmission licensee, as the case may be, shall submit the resolution of the Board of the company or the approval of the*

competent authority in other cases regarding the infusion of funds from internal resources in support of the utilization made or proposed to be made to meet the capital expenditure of the generating station or the transmission system including communication system, as the case may be.

(3) In the case of the generating station and the transmission system, including the communication system declared under commercial operation prior to 1.4.2024, the debt-equity ratio allowed by the Commission for the determination of tariff for the period ending 31.3.2024 shall be considered:

Provided that in the case of a generating station or a transmission system, including a communication system which has completed its useful life as on 1.4.2024 or is completing its useful life during the 2024-29 tariff period, if the equity actually deployed is more than 30% of the capital cost, equity in excess of 30% shall not be taken into account for tariff computation;

Provided further that in case of projects owned by Damodar Valley Corporation, the debt: equity ratio shall be governed as per sub-clause (ii) of clause (2) of Regulation 96 of these regulations.

(4) In the case of the generating station and the transmission system, including communication system declared under commercial operation prior to 1.4.2024, but where debt: equity ratio has not been determined by the Commission for determination of tariff for the period ending 31.3.2024, the Commission shall approve the debt: equity ratio in accordance with clause (1) of this Regulation.

(5) Any expenditure incurred or projected to be incurred on or after 1.4.2024 as may be admitted by the Commission as additional capital expenditure for determination of tariff, and renovation and modernisation expenditure for life extension shall be serviced in the manner specified in clause (1) of this Regulation.

(6) Any expenditure incurred for the emission control system during the tariff period as may be admitted by the Commission as additional capital expenditure for determination of supplementary tariff, shall be serviced in the manner specified in clause (1) of this Regulation."

56. The debt-equity ratio for the 2024-29 tariff period is dealt with in line with Regulation 18 of the 2024 Tariff Regulations. Accordingly, the debt-equity ratio considered for the purpose of computation of tariff for the 2024-29 tariff period in respect of the transmission asset is as follows:

Funding	**Capital Cost as on 1.4.2024**		**ACE (2024-29)**		**Capital Cost as on 31.3.2029**	
	(₹ in lakh)	**(in %)**	**(₹ in lakh)**	**(in %)**	**(₹ in lakh)**	**(in %)**
Debt	11013.01	70.00	0.77	70.00	11013.78	70.00
Equity	4719.86	30.00	0.33	30.00	4720.19	30.00
Total	**15732.87**	**100.00**	**1.10**	**100.00**	**15733.97**	**100.00**

Depreciation

57. Regulation 33 of the 2024 Tariff Regulations provides as follows:

*"**33. Depreciation**: (1) Depreciation shall be computed from the date of commercial operation of a generating station or unit thereof or a transmission system or element thereof including communication system. In the case of the tariff of all the units of a generating station or all elements of a transmission system including the communication system for which a single tariff needs to be determined, the depreciation shall be computed from the effective date of commercial operation of the generating station or the transmission system taking into consideration the depreciation of individual units:*

Provided that the effective date of commercial operation shall be worked out by considering the actual date of commercial operation and installed capacity of all the units of the generating station or capital cost of all elements of the transmission system, for which a single tariff needs to be determined.

(2) The value base for the purpose of depreciation shall be the capital cost of the asset admitted by the Commission. In case of multiple units of a generating station or multiple elements of a transmission system, the weighted average life for the generating station or the transmission system shall be applied. Depreciation shall be chargeable from the first year of commercial operation. In the case of commercial operation of the asset for a part of the year, depreciation shall be charged on a pro rata basis.
(3) The salvage value of the asset shall be considered as 10%, and depreciation shall be allowed up to the maximum of 90% of the capital cost of the asset:

Provided that the salvage value for IT equipment and software shall be considered as NIL and 100% value of the assets shall be considered depreciable;

…….

Provided also that any depreciation disallowed on account of lower availability of the generating station or unit or transmission system, as the case may be, shall not be allowed to be recovered at a later stage during the useful life or the extended life.

(4) …….
(5) Depreciation for Existing Projects shall be calculated annually based on the Straight-Line Method and at rates specified in Appendix-I to these regulations for the assets of the generating station and transmission system:

Provided that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the effective date of commercial operation of the generating station or transmission system, as the case may be, shall be spread over the balance useful life of the assets.

……

(6) Depreciation for New Projects shall be calculated annually based on the Straight-Line Method and at rates specified in Appendix-II to these regulations for the assets of the generating station and transmission system:

Provided that the remaining depreciable value as on 31st March of the year closing after a period of 15 years from the effective date of commercial operation of

the generating station or the transmission system, as the case may be, shall be spread over the balance useful life of the assets.

……..

(7) In the case of the existing projects, the balance depreciable value as on 1.4.2024 shall be worked out by deducting the cumulative depreciation as admitted to by the Commission up to 31.3.2024 from the gross depreciable value of the assets.
(8) The generating company or the transmission licensee, as the case may be, shall submit the details of capital expenditure proposed to be incurred during five years before the completion of useful life along with proper justification and proposed life extension. The Commission, based on prudence check of such submissions, shall approve the depreciation by equally spreading the depreciable value over the balance Operational Life of the generating station or unit thereof or fifteen years, whichever is lower, and in case of the transmission system shall equally spread the depreciable value over the balance useful life of the Asset or 10 years whichever is higher.

(9) In case of de-capitalization of assets in respect of generating station or unit thereof or transmission system or element thereof, the cumulative depreciation shall be adjusted by taking into account the depreciation recovered in tariff by the de-capitalized asset during its useful service…..

(10) Xxxxx

(11) Xxxxx

(12) Xxxxx"

58. The depreciation has been worked out considering the admitted capital expenditure as on 1.4.2024 and, thereafter, up to 31.3.2029. The Weighted Average Rate of Depreciation (WAROD) has been worked out for the transmission asset as per the rates of depreciation specified in the 2024 Tariff Regulations.

59. The depreciation allowed for the transmission asset under Regulation 33 of the 2024 Tariff Regulations for the 2024-29 tariff period is as under:

(₹ in lakh)

	Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
A	Opening Gross Block	15732.87	15733.97	15733.97	15733.97	15733.97
B	Addition during the year 2024-29 due to projected ACE	1.10	0.00	0.00	0.00	0.00
C	Closing Gross Block (A+B)	15733.97	15733.97	15733.97	15733.97	15733.97
D	Average Gross Block (A+C)/2	15733.42	15733.97	15733.97	15733.97	15733.97
E	Average Gross Block (90% depreciable assets)	15733.42	15733.97	15733.97	15733.97	15733.97
F	Average Gross Block (100% depreciable assets)	0.00	0.00	0.00	0.00	0.00
G	Depreciable value	14160.08	14160.57	14160.57	14160.57	14160.57

	(excluding IT equipment and software) (E*90%)					
H	Depreciable value of IT equipment and software (F*100%)	0.00	0.00	0.00	0.00	0.00
I	Total Depreciable Value (G+H)	14160.08	14160.57	14160.57	14160.57	14160.57
J	Weighted average rate of Depreciation (WAROD) (in %)	5.3041	5.3041	5.3041	5.2805	5.2615
K	Elapsed useful life at the beginning of the year (Year)	6.00	7.00	8.00	9.00	10.00
L	Balance useful life at the beginning of the year (Year)	29.00	28.00	27.00	26.00	25.00
M	**Depreciation during the year (D*J)**	**834.52**	**834.55**	**834.55**	**830.83**	**827.84**
N	Cumulative Depreciation at the end of the year	5808.55	6643.10	7477.65	8308.49	9136.33
O	Remaining Aggregate Depreciable Value at the end of the year	8351.52	7517.47	6682.92	5852.09	5024.24

Interest on Loan (IoL)

60. Regulation 32 of the 2024 Tariff Regulations provides as follows:

*"**32. Interest on loan capital**: (1) The loans arrived at in the manner indicated in Regulation 18 of these regulations shall be considered gross normative loans for the calculation of interest on loans.*

(2) The normative loan outstanding as on 1.4.2024 shall be worked out by deducting the cumulative repayment as admitted by the Commission up to 31.3.2024 from the gross normative loan.

(3) The repayment for each of the years of the tariff period 2024-29 shall be deemed to be equal to the depreciation allowed for the corresponding year or period. In case of de-capitalization of assets, the repayment shall be adjusted by taking into account cumulative repayment on a pro rata basis, and the adjustment should not exceed cumulative depreciation recovered up to the date of de-capitalisation of such asset.

(4) Notwithstanding any moratorium period availed of by the generating company or the transmission licensee, as the case may be, the repayment of the loan shall be considered from the first year of commercial operation of the project and shall be equal to the depreciation allowed for the year or part of the year.

(5) The rate of interest shall be the weighted average rate of interest calculated on the basis of the actual loan portfolio or allocated loan portfolio;

Provided that if there is no actual loan outstanding for a particular year but the normative loan is still outstanding, the last available weighted average rate of interest of the loan portfolio for the project shall be considered;

Provided further that if the generating station or the transmission system, as the case may be, does not have any actual loan, then the weighted average rate of interest of the loan portfolio of the generating company or the transmission licensee as a whole shall be considered.

Provided that the rate of interest on the loan for the installation of the emission control system commissioned subsequent to date of commercial operation of the generating station or unit thereof, shall be the weighted average rate of interest of the actual loan portfolio of the emission control system, and in the absence of the actual loan portfolio, the weighted average rate of interest of the generating company as a whole shall be considered, subject to a ceiling of 14%;

Provided further that if the generating company or the transmission licensee, as the case may be, does not have any actual loan, then the rate of interest for a loan shall be considered as 1-year MCLR of the State Bank of India as applicable as on April 01, of the relevant financial year.

(6) The interest on the loan shall be calculated on the normative average loan of the year by applying the weighted average rate of interest.

(7) The changes to the terms and conditions of the loans shall be reflected from the date of such re-financing."

61. The Petitioner has claimed the Weighted Average Rate of Interest (WAROI) on loans based on its actual loan portfolio and the interest rate prevailing as on 1.4.2024. The IoL has been calculated based on the actual interest rates of various loans deployed each year, in accordance with the 2024 Tariff Regulations. The IoL allowed for the transmission asset is as follows:

(₹ in lakh)

Sl. No.	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
A	Gross Normative Loan	11013.01	11013.78	11013.78	11013.78	11013.78
B	Cumulative Repayments up to Previous Year	4974.03	5808.55	6643.10	7477.65	8308.49
C	Net Loan-Opening (A-B)	6038.97	5205.22	4370.68	3536.13	2705.29
D	Addition due to ACE	0.77	0.00	0.00	0.00	0.00
E	Repayment during the year	834.52	834.55	834.55	830.83	827.84
F	Net Loan-Closing (C+D-E)	5205.22	4370.68	3536.13	2705.29	1877.45
G	Average Loan (C+F)/2	5622.10	4787.95	3953.40	3120.71	2291.37
H	Weighted Average Rate of Interest on Loan (in %)	7.7270	7.7023	7.6621	7.7042	7.8542
I	**Interest on Loan (G*H)**	**434.42**	**368.78**	**302.91**	**240.43**	**179.97**

Return on Equity (RoE)

62. The Regulations 30 and 31 of the 2024 Tariff Regulations provide as follows:

*"**30. Return on Equity**: (1) Return on equity shall be computed in rupee terms, on the equity base determined in accordance with Regulation 18 of these regulations.*

(2) Return on equity for existing project shall be computed at the base rate of 15.50% for thermal generating station, transmission system including communication system and run-of river hydro generating station and at the base rate of 16.50% for storage type hydro generating stations, pumped storage hydro generating stations and run-of-

river generating station with pondage;

(3) Return on equity for new project achieving COD on or after 01.04.2024 shall be computed at the base rate of 15.00% for the transmission system, including the communication system, at the base rate of 15.50% for Thermal generating station and run-of-river hydro generating station and at the base rate of 17.00% for storage type hydro generating stations, pumped storage hydro generating stations and run-of-river generating station with pondage;

Provided that return on equity in respect of additional capitalization beyond the original scope, including additional capitalization on account of the emission control system, Change in Law, and Force Majeure shall be computed at the base rate of one-year marginal cost of lending rate (MCLR) of the State Bank of India plus 350 basis points as on 1st April of the year, subject to a ceiling of 14%;

Provided further that:

i. In case of a new project, the rate of return on equity shall be reduced by 1.00% for such period as may be decided by the Commission if the generating station or transmission system is found to be declared under commercial operation without commissioning of any of the Free Governor Mode Operation (FGMO), data telemetry, communication system up to load dispatch centre or protection system based on the report submitted by the respective RLDC;

…….……"

***"31. Tax on Return on Equity.** (1) The rate of return on equity as allowed by the Commission under Regulation 30 of these regulations shall be grossed up with the effective tax rate of the respective financial year. The effective tax rate shall be calculated at the beginning of every financial year based on the estimated profit and tax to be paid estimated in line with the provisions of the relevant Finance Act applicable for that financial year to the concerned generating company or the transmission licensee by excluding the income of non-generation or non-transmission business, as the case may be, and the corresponding tax thereon.*

Provided that in case a generating company or transmission licensee is paying Minimum Alternate Tax (MAT) under Section 115JB of the Income Tax Act, 1961, the effective tax rate shall be the MAT rate, including surcharge and cess;

Provided further that in case a generating company or transmission licensee has opted for Section 115BAA, the effective tax rate shall be tax rate including surcharge and cess as specified under Section 115BAA of the Income Tax Act, 1961.

(2) The rate of return on equity shall be rounded off to three decimal places and shall be computed as per the formula given below:

Rate of pre-tax return on equity = Base rate / (1-t)

(3) The generating company or the transmission licensee, as the case may be, shall true up the effective tax rate for every financial year based on actual tax paid together with any additional tax demand, including interest thereon, duly adjusted for any refund of tax including interest received from the income tax authorities pertaining to the tariff period 2024-29 on actual gross income of any financial year. Further, any penalty arising on account of delay in deposit or short deposit of tax amount shall not be considered while computing the actual tax paid for the generating company or the transmission licensee, as the case may be.

Provided that in case a generating company or transmission licensee is paying Minimum Alternate Tax (MAT) under Section 115JB, the generating company or the transmission licensee, as the case may be, shall true up the grossed-up rate of return on equity at the end of every financial year with the applicable MAT rate including surcharge and cess.

Provided that in case a generating company or transmission licensee is paying tax under Section 115BAA, the generating company or the transmission licensee, as the case may be, shall true up the grossed-up rate of return on equity at the end of every financial year with the tax rate including surcharge and cess as specified under Section 115BAA.

Provided that any under-recovery or over recovery of grossed up rate on return on equity after truing up, shall be recovered or refunded to beneficiaries or the long-term customers, as the case may be, on a year-to-year basis."

63. The Petitioner has submitted that the MAT rate applies to it.

64. We have considered the Petitioner's submissions and have gone through the record. The Petitioner has claimed Return on Equity (RoE) considering a base rate of 15.500% and an effective tax rate of 17.472% for the 2024-29 tariff period; the same has been considered, subject to true-up.

65. Accordingly, the RoE allowed in respect of the transmission asset for the 2024-29 tariff period, in accordance with Regulation 31 of the 2024 Tariff Regulations, is as follows:

(₹ in lakh)

Sl. No.	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
A	Opening Equity	4719.86	4720.19	4720.19	4720.19	4720.19
B	Addition due to ACE	0.33	0.00	0.00	0.00	0.00
C	Closing Equity (A+B)	4720.19	4720.19	4720.19	4720.19	4720.19
D	Average Equity (A+C)/2	4720.03	4720.19	4720.19	4720.19	4720.19
E	Return on Equity (Base Rate) (in %)	15.50	15.50	15.50	15.50	15.50
F	Tax Rate applicable (in %)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**886.52**	**886.55**	**886.55**	**886.55**	**886.55**

Operation and Maintenance Expenses (O&M Expenses)

66. The O&M Expenses claimed by the Petitioner in respect of the transmission asset for the 2024-29 tariff period are as follows:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
O&M Expenses	144.38	151.98	159.93	168.39	177.21

67. Regulation 36(3) of the 2024 Tariff Regulations provides as follows:

*"**36. Operation and Maintenance Expenses:***

……

***(3) Transmission system:** (a) The following normative operation and maintenance expenses shall be admissible for the transmission system:*

Particulars	***2024-***	***2025-***	***2026-***	***2027-***	***2028-***
Norms for sub-station Bays (Rs Lakh per bay)					
765 kV	*41.34*	*43.51*	*45.79*	*48.20*	*50.73*
400 kV	*29.53*	*31.08*	*32.71*	*34.43*	*36.23*
220 kV	*20.67*	*21.75*	*22.90*	*24.10*	*25.36*
132 kV and below	*15.78*	*16.61*	*17.48*	*18.40*	*19.35*
Norms for Transformers/Reactors (Rs Lakh per MVA or MVAR)					
O&M expenditure per MVA or per MVAr (Rs Lakh per MVA or per MVAr)	*0.262*	*0.276*	*0.290*	*0.305*	*0.322*
Norms for AC and HVDC lines (Rs Lakh per km)					
Single Circuit (Bundled Conductor with six or more sub-conductors)	*0.861*	*0.906*	*0.953*	*1.003*	*1.056*
Single Circuit (Bundled conductor with four or more sub-conductors)	*0.738*	*0.776*	*0.817*	*0.860*	*0.905*
Single Circuit (Twin & Triple Conductor)	*0.492*	*0.518*	*0.545*	*0.573*	*0.603*
Single Circuit (Single Conductor)	*0.246*	*0.259*	*0.272*	*0.287*	*0.302*
Double Circuit (Bundled conductor with four or more sub-conductors)	*1.291*	*1.359*	*1.430*	*1.506*	*1.585*
Double Circuit (Twin & Triple Conductor)	*0.861*	*0.906*	*0.953*	*1.003*	*1.056*
Double Circuit (Single Conductor)	*0.369*	*0.388*	*0.409*	*0.430*	*0.453*
Multi Circuit (Bundled Conductor with four or more sub-conductor)	*2.266*	*2.385*	*2.510*	*2.642*	*2.781*
Multi Circuit (Twin & Triple Conductor)	*1.509*	*1.588*	*1.671*	*1.759*	*1.851*
Norms for HVDC stations					
HVDC Back-to-Back stations (Rs Lakh per MW)	*2.07*	*2.18*	*2.30*	*2.42*	*2.55*
Gazuwaka BTB (Rs Lakh/MW)	*1.83*	*1.92*	*2.03*	*2.13*	*2.24*
HVDC bipole scheme (Rs Lakh/MW)	*1.04*	*1.10*	*1.16*	*1.22*	*1.28*

Provided that the O&M expenses for the GIS bays shall be allowed as worked out by multiplying 0.70 of the O&M expenses of the normative O&M expenses for bays:

Provided that the O&M expense norms of Double Circuit quad AC line shall be applicable to for HVDC bi-pole line:

Provided that the O&M expenses of ±500 kV Mundra-Mohindergarh HVDC bipole scheme (2500 MW) shall be allowed as worked out by multiplying 0.80 of the normative O&M expenses for HVDC bipole scheme:

Provided further that the O&M expenses for Transmission Licensees whose transmission assets are located solely in NE Region (including Sikkim), States of Uttarakhand, Himachal Pradesh, the Union Territories of Jammu and Kashmir and Ladakh, district of Darjeeling of West Bengal shall be worked out by multiplying 1.50 to the normative O&M expenses prescribed above.

(b) The total allowable operation and maintenance expenses for the transmission system shall be calculated by multiplying the number of substation bays, transformer capacity of the transformer/reactor/Static Var Compensator/Static Synchronous Compensator (in MVA/MVAr) and km of line length with the applicable norms for the operation and maintenance expenses per bay, per MVA/MVAr and per km respectively..... "

68. We have considered the Petitioner's submissions. The O&M Expenses for the 2024-29 tariff period have been worked out as per the norms specified in the 2024 Tariff Regulations. The O&M Expenses allowed in respect of the transmission asset for the 2024-29 tariff period, as per Regulation 36 of the 2024 Tariff Regulations, are as under:

(₹ in lakh)

Particulars	**2019-20**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Transmission Line (Kudankulam-Tuticorin)					
Double Circuit (Bundle conductor with 4 sub-conductors)					
Norms	1.291	1.359	1.43	1.506	1.585
No. of Units (Length in kms)	66.09	66.09	66.09	66.09	66.09
Substation (Tuticorin PS)					
400 kV Sub-station					
Norms	29.53	31.08	32.71	34.43	36.23
No. of Units	2	2	2	2	2
O&M Expenses	**144.38**	**151.98**	**159.93**	**168.39**	**177.21**

<u>Interest on Working Capital (IWC)</u>

69. Regulations 34(1)(d), 34(3) and 34(4) of the 2024 Tariff Regulations provide as follows:

*"**34. Interest on Working Capital**: (1) The working capital shall cover:*
……

(d) For Hydro generating station (including Pumped Storage Hydro generating station) and Transmission System:
(i) Receivables equivalent to 45 days of annual fixed cost;
(ii) Maintenance spares @ 15% of operation and maintenance expenses including security expenses; and

(iii) Operation and maintenance expenses, including security expenses for one month.

(2) ……

(3) Rate of interest on working capital shall be on a normative basis and shall be considered at the Reference Rate of Interest as on 1.4.2024 or as on 1st April of the year during the tariff period 2024- 29 in which the generating station or a unit thereof or the transmission system including communication system or element thereof, as the case may be, is declared under commercial operation, whichever is later:

Provided that in case of truing-up, the rate of interest on working capital shall be considered at Reference Rate of Interest as on 1st April of each of the financial year during the tariff period 2024-29.

(4) Interest on working capital shall be payable on a normative basis, notwithstanding that the generating company or the transmission licensee has not taken a loan for working capital from any outside agency."

70. The Petitioner has considered the rate of IWC as 11.90% as on 1.4.2024. IWC has been worked out in accordance with Regulation 34 of the 2024 Tariff Regulations. The Rate of Interest (RoI) considered is 11.90% (SBI 1-year MCLR applicable as on 1.4.2024 of 8.65% plus 325 basis points) for FY 2024-25 and 12.25% (SBI 1-year MCLR applicable as on 1.4.2024 of 9.00% plus 325 basis points) for FY 2025-26 to FY 2028-29.

71. The components of the working capital and interest allowed thereon under Regulation 34 of the 2024 Tariff Regulations for the 2024-29 tariff period in respect of the transmission asset are as under:

(₹ in lakh)

Sl. No.	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
A	Working Capital for O&M Expenses (O&M Expenses for one month)	12.03	12.67	13.33	14.03	14.77
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	21.66	22.80	23.99	25.26	26.58
C	Working Capital for Receivables (Equivalent to 45 days of annual fixed cost /annual transmission charges)	288.27	281.18	273.95	266.02	259.95
D	**Total Working Capital (A+B+C)**	**321.95**	**316.64**	**311.27**	**305.31**	**301.30**
E	Rate of Interest for working capital (in %)	11.90	12.25	12.25	12.25	12.25
F	**Interest on Working Capital (D*E)**	**38.31**	**38.79**	**38.13**	**37.40**	**36.91**

The Annual Fixed Charges for the 2024-29 Tariff Period

72. The transmission charges allowed in respect of the transmission asset for the 2024-29 tariff period are as follows:

(₹ in lakh)

Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Depreciation	834.52	834.55	834.55	830.83	827.84
Interest on Loan	434.42	368.78	302.91	240.43	179.97
Return on Equity	886.52	886.55	886.55	886.55	886.55
O&M Expenses	144.38	151.98	159.93	168.39	177.21
Interest on Working Capital	38.31	38.79	38.13	37.40	36.91
Total	**2338.15**	**2280.65**	**2222.07**	**2163.60**	**2108.48**

Filing Fee and Publication Expenses

73. The Petitioner has sought reimbursement for the fee paid to file the Petition and for publication expenses. In this regard, the Petitioner has submitted that it is entitled to reimbursement of the filing fee and the expenses incurred for publishing notices in the application for tariff approval, directly from the beneficiaries or the long-term customers, as applicable, in accordance with Regulation 94(1) of the 2024 Tariff Regulations.

74. We have considered the Petitioner's submissions. The Petitioner is entitled to reimbursement of the fees paid for filing the Petition and publication expenses incurred on this account directly from the beneficiaries or long-term customers, as the case may be.

Fees and Charges of Central Transmission Utility of India Limited (CTUIL)

75. The Petitioner has submitted that, according to Regulation 99 of the 2024 Tariff Regulations, the fees and charges of the CTUIL may be allowed separately through a separate regulation. The Petitioner has further submitted that, in the absence of such a regulation, the CTUIL expenses will be borne by the Petitioner and recovered as additional O&M Expenses through a separate Petition at the end of the tariff period.

76. It is apt here to refer to Regulation 99 of the 2024 Tariff Regulations which provides as under:

> *"**99. Special Provisions relating to Central Transmission Utility of India Ltd. (CTUIL):** The fee and charges of CTUIL shall be allowed separately by the Commission through a separate regulation:*
>
> *Provided that until such regulation is issued by the Commission, the expenses of CTUIL shall be borne by Power Grid Corporation of India Ltd. (PGCIL) which shall be recovered by PGCIL as additional O&M expenses through a separate petition."*

77. We have considered the Petitioner's submissions and perused Regulation 99 of the 2024 Tariff Regulations. In view of the explicit provision made under Regulation 99 of the 2024 Tariff Regulations, we permit the Petitioner, i.e., PGCIL, to bear the fees and charges expenses of CTUIL and recover the same as additional O&M Expenses through a separate Petition until such a regulation is notified and issued by the Commission.

Licence Fee and RLDC Fees and Charges

78. The Petitioner has claimed reimbursement of the license fee, RLDC Fees and Charges. The Petitioner is allowed the reimbursement of the license fee in accordance with Regulation 94(4) of the 2024 Tariff Regulations for the 2024-29 tariff period. The Petitioner is also allowed to recover the RLDC fee and charges from the beneficiaries in terms of Regulation 94(3) of the 2024 Tariff Regulations for the 2024-29 tariff period.

Goods and Services Tax

79. The Petitioner has submitted that the transmission charges claimed herein are exclusive of GST, and in case GST is levied in the future, the same shall be additionally paid by the Respondents, and the Petitioner shall be allowed to charge and bill it separately. Petitioner further prays that in case any additional taxes are paid by the Petitioner on account of the demand from the Government/ statutory authorities, the

Commission may allow the same to be recovered from the beneficiaries.

80. We have considered the submissions of the Petitioner. Since GST is not levied on the transmission service at present, we are of the view that the Petitioner's prayer on this count is premature.

Security Expenses, Insurance and Capital Spares

81. The Petitioner has submitted that, as per Regulation 36(3)(d) of the 2024 Tariff Regulations, the security expenses and capital spares of more than ₹10 lakh for the transmission system will be allowed separately after a prudence check.

82. As regards the security expenses of the transmission asset, the Petitioner has submitted that it will file a separate Petition for the truing up of security expenses from 1.4.2019 to 31.3.2024 under Regulation 35(3)(c) of the 2019 Tariff Regulations and recovery of security expenses from 1.4.2024 to 31.3.2029 under Regulation 36(3)(d) of the 2024 Tariff Regulations. According to the Petitioner, the security expenses regarding the transmission asset are not claimed in the instant Petition.

83. The Petitioner has also submitted that it has not claimed insurance expenses in the instant Petition and has submitted that it will file a separate Petition for claiming the overall insurance expenses and consequential IWC on the same, considering the actual insurance expenses incurred by it for FY 2023-24 after escalating the same at 5.25% per annum to arrive at the estimated insurance expenses for FYs 2024-25, 2025-26, 2026-27, 2027-28, and 2028-29.

84. The Petitioner has not claimed capital spares for the transmission asset in the instant Petition for the 2024-29 tariff period. According to the Petitioner, it will file a separate Petition for the capital spares consumed and consequential IWC thereon on an actual basis for the 2024-29 tariff period as per the 2024 Tariff Regulations. The Petitioner has also submitted that it has filed Petition No. 45/MP/2024, claiming therein

capital spares for the 2019-24 tariff period as per the 2019 Tariff Regulations.

85. We have considered the Petitioner's submissions and have perused the record. We deem it proper here to refer Regulation 36(3)(d) of the 2024 Tariff Regulations, which provides as follows:

> *"36(3)*
> *(d) The Security Expenses, Capital Spares individually costing more than Rs. 10 lakh and Insurance expenses arrived through competitive bidding for the transmission system and associated communication system shall be allowed separately after prudence check:*
>
> *Provided that in case of self-insurance, the premium shall not exceed 0.12% of the GFA of the assets insured;*
>
> *Provided that the transmission licensee shall submit the along with estimated security expenses based on assessment of the security requirement, capital spares and insurance expenses, which shall be trued up based on details of the year-wise actuals along with appropriate justification for incurring the same and along with confirmation that the same is not claimed as a part of additional capitalisation or consumption of stores and spares and renovation and modernization.*
>
> *Provided that the self-insurance premium shall be transferred to a separate fund for utilization to meet the claims, and the expenditure incurred or amount utilized from the self-insurance fund shall be made available to the Commission as and when directed."*

86. On the perusal of Regulation 36(3)(d) of the 2024 Tariff Regulations and considering the Petitioner's submissions, the Petitioner is allowed to file a single consolidated Petition comprising of security expenses, capital spares individually costing more than ₹10 lakh and insurance expenses on an estimated basis in terms of the 2024 Tariff Regulations for the 2024-29 tariff period.

Sharing of Transmission Charges

87. The Petitioner has submitted that truing-up of the tariff for the 2019-24 tariff period will be recovered on a monthly basis in accordance with Regulation 57 of the 2019 Tariff Regulations and will be shared by the beneficiaries and long-term transmission customers. Further, the tariff for the 2024-29 tariff period will be recovered on a monthly basis in accordance with Regulation 78 of the 2024 Tariff Regulations and will be shared by the beneficiaries and long-term transmission

customers as per the 2020 Sharing Regulations.

88. The billing, collection and disbursement of the transmission charges in respect of the transmission asset shall be recovered in terms of the provisions of the 2020 Sharing Regulations as provided in Regulation 57 of the 2019 Tariff Regulations for the 2019-24 tariff period and Regulation 78 of the 2024 Tariff Regulations for the 2024-29 tariff period.

89. To summarize:

a) The AFC claimed by the Petitioner in the instant Petition and the trued-up AFC approved in the instant order with respect to the transmission asset for the 2019-24 tariff period are as follows:

(₹ in lakh)

Particulars	**2019-20**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
AFC Claimed	2640.83	2567.19	2507.67	2467.59	2430.89
AFC Approved	2640.83	2567.19	2507.67	2467.60	2430.89

b) The AFC claimed by the Petitioner in the instant Petition and AFC allowed in the instant order with respect to the transmission asset for the 2024-29 tariff period are as follows:

(₹ in lakh)

Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
AFC Claimed	2338.15	2279.52	2220.97	2162.51	2107.41
AFC Allowed	2338.15	2280.65	2222.07	2163.60	2108.48

90. This order disposes of Petition No. 598/TT/2025 in terms of the above discussions and findings.

sd/-
(Harish Dudani)
Member

sd/-
(Ramesh Babu V.)
Member